GMS WEEKLY

Your Source for Recycling News

August 4th, 2023
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Week 31

Highlights:

- **Not workable.**
- **Unsold.**
- **Bleak.**
- **Troublesome.**
- **L/C concerns.**
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QUOTE of the WEEK

"We cannot solve problems with the kind of thinking we employed when we came up with them."

– Albert Einstein

MARKET COMMENTARY

AVOID!

This week, recycling markets essentially became an unfeasible business-place as very few Recyclers were willing to table any firm offers, instead, tabling only low-ball indications as the remainder of the end Buyers remained rather quiet, waiting and watching the market before deciding, which direction the domestic industry is ready to proceed in.

There remain a number of unsold units that are currently being diverted to other destinations from Bangladesh, including India, in additional to a recently re-emerging Pakistani market.

Owners with vessels to sell are being price-shocked into diverting their vessels to another market or withdrawing them from the market entirely, due to a lack of sensible offers that present no encouragement / motivation / interest from Owners (or Cash Buyers) to commit for recycling.

We could therefore be entering a bleaker period of sales and activity through August, especially whilst this standoff in prices persists, and congestion abounds.

Deliveries have started to become troublesome as well, particularly for those units sold at recently higher levels and are now facing the inevitable song-and-dance at the waterfront with unreliable Cash Buyers and painful renegotiations being reported at the waterfront.

As such, it is an extremely frustrating and fraught market at present, with Owners and Cash Buyers alike, who are becoming disillusioned by the falling levels and lack of serious offers. There is only so much chasing down a market that can be endured before some sort of stability is seen, especially once prices level out and the industry finally accepts the levels on the ground.

L/Cs also remain an area of concern in Bangladesh as it has been taking much longer to get L/C approvals over USD 5 million these days, and this is leading to delays in obtaining offers and getting vessels delivered.

For week 31 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Weak	525 / LDT	545 / LDT	565 / LDT
2	Pakistan*	Weak	520 / LDT	540 / LDT	560 / LDT
3	India	Weak	500 / LDT	520 / LDT	540 / LDT
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

UNTENABLE!

Outlier sales.

Several sales have reportedly taken place into Bangladesh this week that seemed to belie the overall negativity in this market as present.

Firstly, a favored Polish built container unit SOL STRAITS (7,770 LDT) was fixed to one particularly keen hot Bangladeshi Buyer, for an impressive USD 592/LT LDT (with 250 Tons of bunkers included in the sale).

Lack of interest.

Additionally, another favored type, RoRo vessel TAI HWA (4,043 LDT) from Taiwan Navigation was committed basis an 'as is' Kaohsiung delivery, for a decent USD 460/LT LDT.

However, the overall sentiments and demand in Bangladesh remain dire and these sales are once again outliers and not indicative of the true conditions of this market, especially one that is becoming untenable for most Owners and Cash Buyers to negotiate with.

Fundamentals too remain dire as the Taka nearly breached BDT 109.40 (highest ever) against the U.S. Dollar, only to retreat and end the week at BDT 108.95. Even local steel plate prices depreciated last week and flatlined through this week, further deteriorating local sentiments and confusing local Buyers where local prices should truly stand.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
SOL STRAITS	Container	7,770	USD 592/LT LDT (with 250 Ts bunkers)
TAI HWA	Roro	4,043	USD 460/LT LDT ('as is' Kaohsiung)

INDIA

SLIPPING!

Lowest placed.

India remains the lowest placed sub-continent market and has once again seen tonnage slip through their hands, despite being the one location that is capable of reliably performing financial / L/C transactions.

Indeed, offers below USD 500/LDT have not been received well by Ship Owners or Cash Buyers and they have either diverted their units to alternative destinations, or even entirely withdraw them from the market.

Sept rebound?

The biggest question that remains is WHY?

The markets need to stop evaluating every transaction as a lottery win each time – trying to beat the 'last done', especially considering the cyclical nature of the industry. Prices at every level are firm, price-shock or not. While remaining in the green is certainly essential for the parties involved, watching the direction of the market when concluding units is just as critical, especially in order to avoid unpleasant surprises at the time of physical delivery and just accept the declining nature of market conditions.

At a time when prices hit the mid USD 200s/LT during the worst of the market, we are presently at levels that are over double those for recycling back in '08 and certainly a long way from the early USD 100s/LT from only a couple of decades ago.

As such, price amnesia certainly remains a detriment in current times.

The traditionally quieter period over the monsoon and summer months are also upon the industry, so perhaps prices and aggression to acquire may improve from September moving forwards.

For now, with a Rupee that came close to breaching Rs. 83 and local steel plate prices that have moved in the opposite direction (firming by about USD 12/Ton), India is certainly in the crosshairs of confusion this week.

NO MARKET SALES REPORTED

PAKISTAN

BACK & BIDDING!

Slowly returning.

Pakistan has finally started to re-emerge as a viable force after almost a year on the sidelines, unable to conclude any units due to the ongoing financial, economic, and even political woes besetting the country.

Consequently, it seems certain that several deals may need to be concluded into Gadani as vessel Owners and Cash Buyers seek alternate options to a lowballing India and a Bangladesh lacking demand.

LC time.

Local fundamentals too remain weakened like the rest of the industry, with local steel plate prices flatlining for months on end due to a total lack of domestic steel trading, in addition to the Pakistani Rupee that briefly breached PKR 289, only to retreat to PKR 287 against the U.S. Dollar, by the time the week ended.

As such, it may take some time to work through what are likely to be some L/C delays, but it is certainly encouraging that enquiries are emerging, and the feeling is that it is only a matter of time before deals will start being concluded into Pakistan once again.

NO MARKET SALES REPORTED

TURKEY

SLIPPING FURTHER!

Like the Bangladeshi market, the Turkish market seems to be slipping even further as local steel plate prices reportedly declined by about USD 10/MT and the Lira briefly breached TRY 27.20, only to retreat to TRY 26.9X as the week ended.

Slipping even further.

Such fundamentals are certainly not conducive to maintaining market levels and although Turkish prices seemed far more resilient to declining this year than the years gone last, just how long can Aliaga Buyers maintain their pricing through such unrelentingly negative fundamentals, including a domestic economy that has been set alight due to inflation, remains to be seen.

Displaced?

We can only hope that the ongoing 'regulations' for environmentally conscious recycling are also taking into account, the livelihoods of people that are so dependent on this sector and may likely be displaced due to the prevailing rules on recycling.

NO MARKET SALES REPORTED

INTERESTING SCIENCE FACTS

- *Within three days after you die, the enzymes that help you digest food will start to eat you.*
- *In all of human history, about 100 billion people have died.*
- *The tallest snowman was built in 2008 in Bethel, Maine. The snowman, nicknamed "Olympia", was 37.2 meters (122 feet) tall.*
- *The first artificial snow was created in March of 1949, by Wayne Pierce, Art Hunt, and Dave Richey. The first snow maker was patented in 1961 by Alden Hanson.*
- *It also snows on Mars and Venus, even though the snow on Venus is actually flakes of metal.*
- *Snow is actually colorless. The reason it looks white to us is because very little sunlight is absorbed by snow.*
- *The average snowflake is made up of 180 billion molecules of water, has six sides, and falls at a speed of 3.1 miles (5 kilometers) per hour.*
- *The world's largest snowflake was found at Fort Keogh, Montana in January 28, 1887. It was 15 inches across and 8 inches thick!*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
August 15 – Independence Day August 31 – Raksha Bandhan	July 30 – August 07 August 14 – August 20 August 28 – September 06

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
August 15 – National Mourning Day	August 01 – August 04 August 16 – August 19 August 30 – September 02

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No Holidays in August	August 14 – Independence Day	August 30 – Victory Day

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ALANG - Port Position as of August 04, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Nova Florida	3,374	Reefer	Arrived August 04
Total Tonnage		**3,374**		

CHATTOGRAM - Port Position as of August 04, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Beauty*	*9,502*	*Bulk Carrier*	*Beached August 03*
2	Eno	10,841	Woodchip Carrier	Arrived August 02
3	Fu Sheng	10,780	Bulk Carrier	Arrived July 21
4	*Hong Da Xin 18*	*3,661*	*Container*	*Beached August 03*
5	PSN	870	Tanker	Arrived July 31
6	*Santa*	*804*	*Fishing Vessel*	*Beached August 04*
7	Well Win	8,940	Bulk Carrier	Arrived July 11
8	*Xin Hai Zhou 7*	*6,496*	*General Cargo*	*Beached July 30*
Total Tonnage		**51,893**		

GADANI - Port Position as of August 04, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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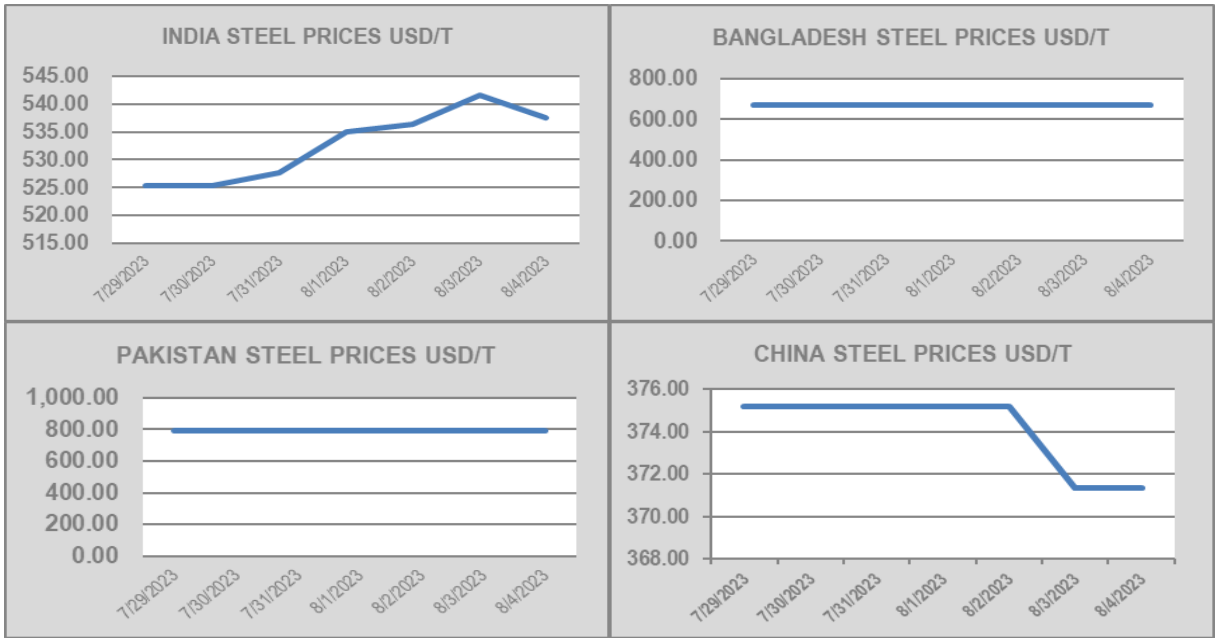
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
7/29/2023	525.23	43,200.00	794.22	220,000.00	672.81	73,000.00	375.20
7/30/2023	525.23	43,200.00	794.22	220,000.00	672.81	73,000.00	375.20
7/31/2023	527.66	43,400.00	794.22	220,000.00	672.81	73,000.00	375.20
8/1/2023	534.95	44,000.00	794.22	220,000.00	672.81	73,000.00	375.20
8/2/2023	536.45	44,300.00	794.22	220,000.00	672.81	73,000.00	375.20
8/3/2023	541.59	44,800.00	794.22	220,000.00	672.81	73,000.00	371.35
8/4/2023	537.57	44,500.00	794.22	220,000.00	672.81	73,000.00	371.35



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